Air France-KLM

FY2024 · Network airline · reporting currency EUR · peer group: Network airlines

Ratings: Fitch BBB-, S&P BB+, as at 13 May 2024 (more than a year old)

Credit tearsheet
11 Nov 2026

SNAPSHOT

Air France-KLM, the Franco-Dutch network airline, grew revenue by **4.8%** to **EUR 31.5bn** in FY2024 while EBITDA was broadly unchanged at **EUR 4.1bn**.

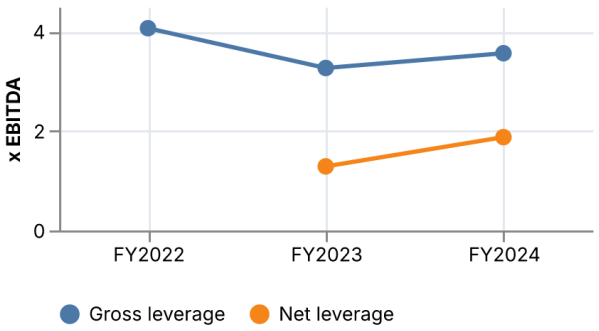
Net leverage rose by **0.59x** to **1.88x** as net debt increased by **43.5%** to **EUR 7.7bn**, and the EBITDA margin narrowed by **0.8 points** to **13.1%**.

The point to watch is cash generation: free cash flow turned negative at **EUR -232m** with capex up **5.0%** to **EUR 3.7bn**, and cash liquidity to revenue fell by **5.5 points** to **22.0%**.

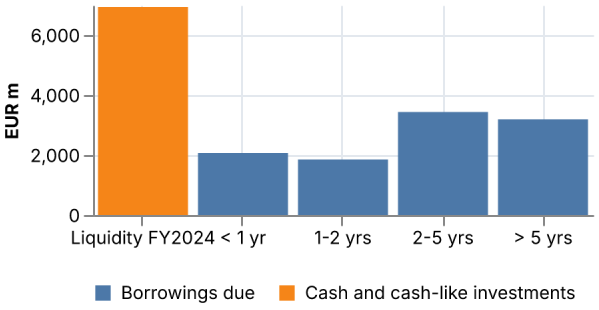
KEY FIGURES

	FY2021	FY2022	FY2023	FY2024
Revenue	EUR 14.3bn	EUR 26.4bn	EUR 30.0bn	EUR 31.5bn
EBITDA	EUR −161m	EUR 3.6bn	EUR 4.2bn	EUR 4.1bn
EBITDA margin	−1.1%	13.7%	13.9%	13.1%
Total debt	EUR 16.2bn	EUR 14.7bn	EUR 13.6bn	EUR 14.6bn
Net debt	*n.a.*	*n.a.*	EUR 5.4bn	EUR 7.7bn
Net leverage	*n.a.*	*n.a.*	1.29x	1.88x
Gross leverage	*n.a.*	4.07x	3.27x	3.56x
Interest coverage	*n.a.*	6.36x	6.96x	6.51x
FFO to debt	−4.1%	20.3%	24.6%	23.4%
Free cash flow	EUR −668m	EUR 1.9bn	EUR 55.0m	EUR −232m
FCF to debt	−4.1%	12.8%	0.4%	−1.6%
FCF after leases	EUR −631m	EUR 1.9bn	EUR −615m	EUR −1.1bn
Capex intensity	15.4%	11.3%	11.8%	11.9%
Liquidity	*n.a.*	*n.a.*	*n.a.*	*pending*
Liquidity to revenue	*n.a.*	*n.a.*	*n.a.*	*pending*
Short-term debt cover	*n.a.*	*n.a.*	*n.a.*	*pending*

LEVERAGE



LIQUIDITY AGAINST MATURITIES



CREDIT METRICS

EBITDA was broadly unchanged at **EUR 4.1bn** on revenue up **4.8%** to **EUR 31.5bn**, but operating profit fell by **12.6%** to **EUR 1.5bn** as depreciation, amortisation and impairment rose by **5.9%** to **EUR 2.6bn**.

Total debt increased by **7.4%** to **EUR 14.6bn**, so gross leverage rose by **0.29x** to **3.56x** and net leverage by **0.59x** to **1.88x**.

Interest coverage eased by **0.45x** to **6.51x** as finance costs rose by **5.2%** to **EUR 631m**.

FFO rose by **2.1%** to **EUR 3.4bn**, but FFO to debt fell by **1.2 points** to **23.4%** as total debt increased by **7.4%**, and FCF to debt dropped by **2.0 points** to **-1.6%**.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).

EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.

EBITDA margin: EBITDA ÷ revenue.

Total debt: Borrowings + lease liabilities, current and non-current.

Net debt: Total debt − cash and cash-like investments. Negative means net cash.

Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.

Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.

Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.

FFO to debt: FFO ÷ total debt.

Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).

FCF to debt: Free cash flow ÷ total debt.

FCF after leases: Cash from operations − net capex − lease principal payments − interest paid where the company shows it in financing cash flows.

Capex intensity: Purchases of PP&E and intangibles ÷ revenue.

Liquidity: Cash + cash-like investments + undrawn committed facilities.

Liquidity to revenue: Liquidity ÷ revenue.

Short-term debt cover: Liquidity ÷ debt due within one year.

OPERATING METRICS

	FY2021	FY2022	FY2023	FY2024
Passengers	*n.a.*	*n.a.*	93.6m	98.0m
Advance ticket cover	*n.a.*	*n.a.*	46.7%	59.1%

Passengers rose by **4.7%** to **98.0m**, and the fleet grew by **4.3%** to **564** aircraft at an average age of **12.1 years**.

Fleet renewal was delayed by supply chain constraints and engine problems on part of the new-generation fleet, which prevented the group from operating those aircraft at maximum capacity.

The operating result included a payment to Virgin in a contract renegotiation and a net provision for the restructuring of the domestic offer from Orly and of call centres.

Capex intensity was broadly unchanged at **11.9%**, with capex of **EUR 3.7bn** against cash from operations of **EUR 3.5bn**.

PEERS: NETWORK AIRLINES, PEER YEAR 2024

	AF-KLM	IAG	Finnair	Median
EBITDA margin	**13.1%** (3)	20.7% (1)	14.6% (2)	14.6%
Net leverage	**1.88x** (2)	1.13x (1)	2.21x (3)	1.88x
Gross leverage	**3.56x** (2)	2.61x (1)	4.20x (3)	3.56x
Interest coverage	**6.51x** (2)	8.70x (1)	4.15x (3)	6.51x
FFO to debt	**23.4%** (2)	32.5% (1)	21.8% (3)	23.4%
FCF to debt	**−1.6%** (3)	20.5% (1)	20.3% (2)	20.3%
Capex intensity	**11.9%**	8.8%	7.7%	8.8%
Cash liquidity to revenue (partial)	**22.0%** (3)	30.6% (1)	29.0% (2)	29.0%
Liquidity to revenue	*pending*	41.2% (1)	35.6% (2)	38.4%
Advance ticket cover	**59.1%** (1)	84.8% (3)	74.5% (2)	74.5%
Fuel share of costs	*n.a.*	27.4%	30.5%	28.9%
Load factor	*n.a.*	86.5% (1)	*pending*	86.5%
Fuel hedge ratio	*n.a.*	*n.a.*	*pending*	n.a.

Air France-KLM has the weakest EBITDA margin of the network airlines (**3rd of 3**), at **13.1%** against a peer median of **14.6%**.

Leverage, interest coverage and FFO to debt all sit in the middle of the group, with net leverage ranking **2nd of 3** and gross leverage **2nd of 3**.

Cash liquidity to revenue is the weakest of the group (**3rd of 3**), while advance ticket cover is the lowest (**1st of 3**).

LIQUIDITY AND FUNDING

Cash and cash-like investments fell by **16.0%** to **EUR 6.9bn**, taking cash liquidity to revenue down to **22.0%**.

Debt due within one year rose by **6.4%** to **EUR 2.7bn**, and borrowings due within two years stood at **EUR 3.9bn**, so the near-term maturities are covered by cash liquidity without new funding.

Free cash flow after lease payments was **EUR -1.1bn**, down from **EUR -615m** in FY2023, and FCF after leases to debt fell by **3.1 points** to **-7.6%**, so cash left for debt holders was negative after leases.

Customer prepayments rose: contract liabilities increased by **6.2%** to **EUR 4.1bn**, with advance ticket cover up by **12.4 points** to **59.1%**.

WATCH ITEMS

- Cash generation: free cash flow after leases was **EUR -1.1bn** and FCF after leases to debt fell by **3.1 points** to **-7.6%**, so the group consumed cash after lease payments.
- Liquidity: cash liquidity to revenue fell by **5.5 points** to **22.0%**, below the peer median of **29.0%**.
- Maturities: debt due within one year rose by **6.4%** to **EUR 2.7bn**, against cash and cash-like investments of **EUR 6.9bn** that fell by **16.0%**.
- Margins: the EBITDA margin narrowed by **0.8 points** to **13.1%**, the weakest of the network airlines (**3rd of 3**).

ANALYST VIEW

Written by the analyst; never drafted by the AI.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.

Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).

Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.

Fuel share of costs: Fuel cost ÷ (revenue − operating profit).

Load factor: RPK ÷ ASK.

Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.

pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.

n.a.: not available for that year.

Sources: FY2022 filing · FY2024 filing · FY2024 statements entered by hand (PDF) · FY2025 statements entered by hand (PDF). Peers' filings and every fingerprint: Excel backup, Manifest sheet.

Manifest: 106 source figures from 10 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7 + draft-v8 (liquidity_funding, watch_items), fact sheet 644e36880f91; code 1343e1569875; exported 2026-11-11 21:25 UTC.

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